

(BITs). Bias identification, which is done near the end of the process, is narrowed down for the advisor by giving the advisor clues as to which biases a client is likely to have, based on the client's BIT. BITs were designed to help advisors make rapid yet insightful assessments of what type of investor they are dealing with before recommending an investment plan. The benefit of defining what type of investor an advisor is dealing with up-front is that client behavioral surprises that result in a client wishing to change his or her portfolio as a result of market turmoil can be mitigated. If an advisor can limit the number of traumatic episodes that inevitably occur throughout the advisory process by delivering smoother (read here: expected) investment results, because the advisor had created an investment plan that is customized to the client's behavioral make-up, a stronger client relationship is the result. BITs, however, are not intended to be "absolutes" but rather "guide posts" to use when making the journey with a client; dealing with irrational investor behavior is not an exact science. For example, an advisor may find that he or she has correctly classified a client as a certain BIT, but finds that the client has traits (biases) of another.

There are four behavioral investor types: Preservers, Followers, Independents, and Accumulators. Each BIT is characterized by the type of bias that dominates an investor's personality. One of the most important concepts advisors should keep in mind as they go through these articles is that the least risk tolerant BIT and the most risk tolerant BIT are driven by emotional biases, while the two BITs in between these two extremes are mainly affected by cognitive biases. Emotional clients tend to be more difficult clients to work with and advisors who can recognize the type of client they are dealing with prior to making investment recommendations will be much better prepared to deal with irrational behavior when it arises.

THE BIT IDENTIFICATION PROCESS

Step 1: Interview client and identify active or passive traits. Most advisors begin with a client interview, which consists mainly of a question-and-answer session intended to gain an understanding about a client's objectives, constraints, and past investing practices. This interview should tell the advisor whether a client is an active or passive investor. In other words, has the client in the past (or does the client now) put capital at risk to build wealth? It is important to make a distinction between investing in a diversified portfolio and risking capital. Risking capital involves doing things such as building companies (big or small), investing in speculative real estate using leverage, or working for oneself rather than for a large company.